UNITED STATES BANKRUPTCY COURT
NORTHERN DISTRICT OF NEW YORK

In re:
HIGHGATE LTC MANAGEMENT, LLC, et al.,
(TIN: xx-xx(6)(6))
Debtor.

Case No. 07-11[illegible] (PCL) (Jointly Administered)
Chapter 11

EF CONSULTING LLC and OASIS HC LLC,
Plaintiffs,
v.
GENERAL ELECTRIC CAPITAL CORPORATION,
Defendant.

Adv. Pro. No. 10-90175

MEMORANDUM OF LAW IN SUPPORT OF DEFENDANT GENERAL ELECTRIC CAPITAL CORPORATION'S MOTION TO DISMISS THE ADVERSARY COMPLAINT PURSUANT TO BANKRUPTCY RULE 7012(b)(6)

PRELIMINARY STATEMENT

Defendant General Electric Capital Corporation ("GECC") respectfully submits this Memorandum of Law in support of its motion (the "Motion")[1] pursuant to Rule 12(b)(6) and of the Federal Rules of Civil Procedure (the "Federal Rules"), as made applicable to this adversary proceeding by Rule 7012(b)(6) of the Rules of Bankruptcy Procedure (the "Bankruptcy Rules"), to dismiss the Adversary Complaint of EF Consulting LLC ("Plaintiff EF") and Oasis HC LLC ("Plaintiff Oasis", and together with Plaintiff EF, "Plaintiffs") against GECC in its entirety.[2]

The essence of Plaintiffs' Adversary Complaint is that Defendant GECC failed to make available to Plaintiff EF 100% of the accounts receivable collected by GECC during EF's receivership. Plaintiffs' understanding of, inter alia, how the Loan and Security Agreement and Lockbox functioned and what the parties' various rights and obligations were under prior orders of this Court and the State Court (defined below) is contradicted not only by the express language of such documents but by Plaintiffs' very own conduct during the relevant twenty-one (21) month period during which Plaintiff EF was Substitute Receiver, which ended on Plaintiff Oasis' closing of its purchase of the Debtors' assets). As more fully set forth below, Plaintiffs cannot transform their own misunderstanding of the relevant court orders and loan documents into various common law and statutory claims. As is demonstrated below, Plaintiffs have failed to plead any viable claim against GECC. Rather, GECC, at all relevant times, acted in accordance

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[1] Capitalized terms used but not defined herein shall have the meanings given to such terms in the Declaration of Richard Arrowsmith dated January 4, 2011 (the "Arrowsmith Dec.") filed in support of the Motion.

[2] The Adversary Complaint is annexed as Exhibit 1 to the Arrowsmith Dec.

OVERVIEW OF ADVERSARY COMPLAINT

As this Court is intimately familiar, GECC has been, for all practical purposes, the backbone of the Debtors' bankruptcy case. It was only through GECC's cooperation and assistance that the Debtors were not forced to close their doors at the outset of this Chapter 11 case. But for GECC's concessions and consents with regard to, inter alia, cash collateral usage, continued borrowings under the revolving credit facility and active participation in the assumption of operational deficiencies under the Shortfall Agreement (as defined below), and an extensive marketing and sale process, the Debtors never would have been able to sell their assets in Chapter 11. Notably absent from the record of this bankruptcy case (and the Adversary Complaint) is any reference to a single motion filed or adversary proceeding commenced by the Trustee (as the court-appointed representative of the Debtors' estate) against GECC for any of the alleged wrongdoings set forth in the Adversary Complaint. The reason is simple. GECC's efforts and cooperation, which spared the Debtors from a fire-sale liquidation scenario which would have resulted in an immediate cessation of operations forcing thousands of nursing home residents to relocate to other health care facilities, are embodied in Court orders which permitted GECC to do the very acts of which Plaintiffs, but no creditors or Trustee, now complain.

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It is important for the Court to understand that even if Plaintiffs were successful (which they should not be), the Debtors' estate and Debtors' creditors would receive no benefit. This Adversary Proceeding is simply an attempt by Plaintiff Oasis to reduce the price for the Debtors' assets which it expressly agreed to pay and which this Court previously approved.

STATEMENT OF FACTS

A. Loan Documents

Prior to the commencement of the Debtors' Chapter 11 cases and prior to a State Court receivership discussed below, Highgate Manor Group LLC and Highgate LTC Management LLC (collectively, "Highgate" or the "Debtors") owned and operated four nursing home facilities in upstate New York. On May 26, 2005, Highgate and GECC entered into that certain Loan and Security Agreement dated as of May 26, 2005 (the "LSA") pursuant to which GECC provided to Highgate, as Borrowers, a revolving loan in a maximum amount of $4,000,000. See LSA, ¶2.1(a). A copy of the LSA is annexed to the Arrowsmith Dec. at Exhibit "1". The salient terms of the LSA are described in the Arrowsmith Dec. at paragraphs 4-9 and summarized below:

- The loan was unconditionally guaranteed by certain principals of the Borrower and secured by a first priority lien and security interest in, among other things, "all of Borrower's Accounts, all of Borrower's money, ... deposit accounts" and "all of Borrower's now owned or hereafter acquired deposit accounts into which Accounts or the proceeds of Accounts are deposited, including the Lockbox Account." LSA ¶¶3.1(a)(c).
- "Account" is defined in the LSA as "any right to payment of a monetary obligation" and "any account receivable, any health-care-insurance receivable, any payment intangible, and all other rights to payment of every kind and description..." LSA ¶1.1.
- The loan up to a maximum of $4,000,000 was administered pursuant to ¶2.2 "and on such other basis as Lender may reasonably determine." LSA ¶2.1(a). The loan amount depends upon the availability in the "Borrowing Base" and requests of the Borrower. Id. "Advances ... shall be made

The facts and supporting exhibits are set forth in detail in the accompanying Arrowsmith Dec. GECC has summarized the facts set forth in the Arrowsmith Dec. and "facts" alleged in the Adversary Complaint, but in doing so, it does not adopt any material allegations in the Adversary Complaint as true. Indeed, all of the vague and conclusory material allegations asserted by Plaintiffs in support of their so-called claims are false and are contradicted by unequivocal documentary evidence within Plaintiffs' possession including the prior orders of this Court and the Supreme Court of the State of New York, Rensselaer County (the "State Court").

against a borrowing base equal to eighty-five percent (85%) of Qualified Accounts." LSA ¶2.1(d). A "Qualified Account" is an Account generated in the ordinary course of Borrower's business for Medical Services "which lender, in its sole credit judgment, deems to be a Qualified Account." LSA ¶1.51. Among others, Accounts over 150 days or not payable to Borrower directly from Medicare/Medicaid or a commercial insurer are not "Qualified Accounts." Id.

• Under § 2.2(a) of the LSA, as interest or any other Obligation become due, the Borrower was deemed to have made a request for a Revolving advance and to have authorized Lender to disburse the proceeds of each revolving credit loan to payment of such interest or Obligation. According to the LSA, two days before the proposed borrowing, the Borrower was to give Lender notice of its intention to borrow, specifying the amount to be borrowed and the date of borrowing. Id. ¶2.2(a). The Lender would then make advances based on 85% of Qualified Accounts and other "liquidity factors" it deemed approximate in its sole discretion, up to the $4,000,000 maximum. LSA ¶2.1(d).

• Section 2.3 of the LSA outlines the procedure as to how the Borrower's accounts receivable are to be collected and applied. Borrower was required to establish and maintain a lockbox with a specific bank (originally Manufacturer Travelers Trust Company and later Citizens Bank, Albany, New York). Borrower was required to execute a Lockbox Agreement in the form annexed to the LSA. On October 24, 2005, the Borrower, GECC and Citizens Bank entered into a Lockbox Account Agreement (the "Lockbox Agreement") whose terms mirror the procedures set forth in Section 2.3 of the LSA. The Lockbox Agreement facilitated the operation of the revolving credit line governed by the LSA. Complt. ¶ 8. A copy of the Lockbox Agreement is annexed to the Arrowsmith Dec. at Exhibit 3.

Under the LSA and Lockbox Agreement, Borrower was to ensure that all collection of Accounts (not just Qualified Accounts) were paid directly from its Account Debtors into the Lockbox (essentially a PO Box to which Citizens Bank had exclusive access). Citizens would then open all of the mail sent to the Lockbox and credit to the various Borrower accounts, designated as "Lockbox Accounts," all funds collected. All funds credited to the designated Borrower Lockbox Accounts were then "immediately transferred to [a] concentration account maintained by [Citizens Bank]" (the "Concentration Account"). Under ¶2.3(c) of the LSA, on a daily basis, GECC "shall apply all funds

all of Borrower's money, … deposit accounts" and "all of Borrower's now owned or hereafter acquired deposit accounts into which Accounts or the proceeds of Accounts are deposited, including the Lockbox Account." LSA ¶¶3.1(a)(c).

• "Account" is defined in the LSA as "any right to payment or a monetary obligation" and "any account receivable, any health-care insurance receivable … any payment intangible … and all other rights to payment of every kind and description…" LSA ¶1.1.

• The loan up to a maximum of $4,000,000 was administered pursuant to ¶2.2 "and on such other basis as Lender may reasonably determine." LSA ¶2.1(a). The loan amount depends upon the availability in the "Borrowing Base" and requests of the Borrower. Id. "Advances … shall be made against a borrowing base equal to eighty-five percent (85%) of Qualified Accounts…" LSA ¶2.1(d) (emphasis added). A "Qualified Account" is an Account generated in the ordinary course of Borrower's business for Medical Services which lender, in its sole credit judgment, deems to be a Qualified Account." LSA ¶1.51. Among others, Accounts over 150 days or not payable to Borrower directly from Medicare/Medicaid or a commercial insurer are not "Qualified Accounts." Id.

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costs, expenses and demands of any kind whatsoever, at law or in equity, whether matured or unmatured, liquidated or unliquidated, vested or contingent, choate or inchoate, known or unknown that [Borrower] . . .ha[s] or may have against [Lender] . . .. Borrower acknowledges that the foregoing release is a material inducement to Lender's decision to extend to Borrower the financial accommodations hereunder and has been relied upon by Lender in agreeing to make . . . each advance of Loan proceeds hereunder.

B. Foreclosure Action and Appointment of Receiver

On October 17, 2006, GECC commenced an action in the Supreme Court of the State of New York, Rensselaer County, to foreclose its real property fee and leasehold mortgages on the four nursing home facilities owned and operated by Highgate. On November 29, 2006, the State Court issued an Order Appointing Receiver in which it appointed Long Hill Alliance Company ("Long Hill" or "Receiver") as Receiver of the four premises with authority to operate the Facilities. A true copy of the Order Appointing Receiver (the "Long Hill Order") is annexed to the Arrowsmith Dec. as Exhibit "4". It is referred to on this motion to dismiss because it is referred to in and is the genesis of the Substitute Receiver Order (defined below as "SRO"), which, in turn, is explicitly alleged as the basis for Plaintiffs' claims herein.

Pursuant to the Long Hill Order, GECC and Long Hill entered into a Shortfall Agreement dated as of November 27, 2006 (the "Shortfall Agreement") pursuant to which GECC agreed to "pay any Shortfall", i.e. the difference between Receivership Income of the Facilities received by Receiver for any monthly period and all Receivership Expenses, including, but not limited to, all "operating expenses, accounts payable, including insurance and vendor expenses" plus "any costs and expenses incurred

in an emergency, that are extraordinary or that may be required by applicable law."

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C. Chapter 11 Filings

On April 16, 2007, (the "Petition Date"), the Debtors each filed voluntary petitions for relief under Chapter 11, Title 11, U.S.C. in the U.S. Bankruptcy Court for the Northern District of New York. ("Bankruptcy Cases"). *See* Adversary Complaint at ¶ 5; ECF Docket Case No. 07-11068 (REL). On May 17, 2007, this Court ordered that a Chapter 11 Trustee be appointed. *See* ECF Docket No. [85] Case No. 07-11068. On May 21, 2007, Mark I. Fishman, Esq. ("Trustee") was appointed Chapter 11 Trustee pursuant to 11 U.S.C. § 1104 and, as of the date hereof, is still serving in such capacity. *See* ECF Docket No. [89] Case No. 07-11068.

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D. Cash Collateral Order

On May 14, 2007, this Court issued its Final Order Authorizing the Debtors to (A) Borrow Money Pursuant to Sections 105, 301, 326(c)(1); 364(c)(2), 364(c)(3) and 364(e) of the Bankruptcy Code; and (B) use Cash Collateral on a Consensual Basis and (C) Granting Adequate Protection and Related Relief Pursuant to Section 105, 361 and 363 of the Bankruptcy Code (the "Cash Collateral Order"). A true copy of the Cash Collateral Order is annexed to the Arrowsmith Dec. as Exhibit "6". On May 18, 2007, this Court continued Long Hill as Receiver of the Facilities, which were property of the Debtors' bankruptcy estate (the "Continuation Order"). A copy of the Court's Continuation Order continuing Long Hill as Receiver is annexed to the Arrowsmith Dec. as Exhibit "7".

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In its Cash Collateral Order, this Court specifically found that:

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CONCLUSION

For all of the foregoing reasons, Defendant GECC respectfully requests that this Court grant, in its entirety, GECC's motion to dismiss the Adversary Complaint for failure to state a claim on which relief can be granted.

Dated: Garden City, New York, January 6, 2011

Respectfully submitted,

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Garden City, New York 11530
(516) 873-2000

AFFIDAVIT OF SERVICE

STATE OF NEW YORK) ss:
COUNTY OF NASSAU)

Joyce DeSousa, being duly sworn, deposes and says:

I am not a party to the action, am over 18 years of age and reside at Whitestone, New York.

On the 6th day of January, 2011, I served a true copy of the Memorandum of Law in Support of Defendant General Electric Capital Corporation's Motion to Dismiss the Adversary Complaint in a securely sealed postpaid wrapper addressed to the last known address of the addressee(s) as indicated below by in an official depository under the care and custody of the United States Postal Service within the State of New York as follows:

Abraham Backenroth, Esq.
Backenroth Frankel & Krinsky LLP
Attorneys for Plaintiffs
489 Fifth Ave., 28th Fl.
New York, NY 10017

/s/
JOYCE DESOUSA

Sworn to before me this
6th day of January, 2011

/s/
Dagmar E. Rowinsky
Notary Public, State of New York
No. 4789327
Qualified in Nassau County
Commission Expires 10-31-13

AFFIDAVIT OF SERVICE

STATE OF NEW YORK) ss.: COUNTY OF NASSAU)

Joyce DeSousa, being duly sworn, deposes and says: I am not a party to the action, am over 18 years of age and reside at Whitestone, New York. On the 6th day of January, 2011, I served a true copy of the Memorandum of Law in Support of Defendant General Electric Capital Corporation's Motion to Dismiss the Adversary Complaint in a securely sealed postpaid wrapper addressed to the last known address of the addressee(s) as indicated below by in an official depository under the care and custody of the United States Postal Service within the State of New York as follows: Abraham Backenroth, Esq., Backenroth Frankel & Krinsky LLP, Attorneys for Plaintiffs, 489 Fifth Ave., 28th Fl., New York, NY 10017.

Sworn to before me this 6th day of January, 2011. Dagmar E. Rowinsky, Notary Public, State of New York, No. 4789327, Qualified in Nassau County, Commission Expires 10-31-13.

/s/ JOYCE DESOUSA